

Supplier Performance Evaluation Framework

1. Evaluation Metrics

Supplier performance is assessed using metrics including on-time delivery rate, product quality, responsiveness, and compliance with contract terms. Each metric is assigned a weight reflecting its importance; on-time delivery carries 40%, quality 35%, responsiveness 15%, and compliance 10%.

2. Data Collection Procedures

Data is collected monthly from purchase order records, quality logs, and supplier communications. Automated systems track delivery timeliness and quantities received. Quality metrics come from inspection reports. Data is verified by supply chain analysts prior to evaluation.

3. Scoring and Rating System

Scores are calculated on a 0-100 scale, with thresholds defining performance categories: 90+ is excellent, 75-89 good, 60-74 fair, below 60 poor. Ratings determine eligibility for contract renewal and bonus incentives.

4. Feedback Process

Quarterly performance reports are shared with suppliers, highlighting strengths and areas for improvement. Meetings are arranged to discuss corrective actions within ten business days of report delivery. Documentation of feedback is kept for audit.

5. Corrective Action Plan Requirements

Suppliers falling below a 75 score must submit a corrective action plan within 15 days outlining steps to address deficiencies. Plans must include specific actions, responsibilities, and timelines. Progress is monitored monthly until resolution.

6. Incentive Programs

Top-performing suppliers scoring above 92 are eligible for incentives including volume increases, longer-term contracts, and preferred partnership status. Incentives are reviewed and awarded annually based on sustained performance.

7. Non-Compliance Consequences

Consistent poor performance over two quarters or serious contract breaches may lead to termination proceedings. Warnings and probationary status apply prior to termination. All actions follow documented procurement policies to ensure fairness.

8. Continuous Improvement Collaboration

Joint improvement initiatives are encouraged, such as supplier workshops and process audits. Best practices sharing fosters stronger partnerships. Success is measured through incremental performance gains and issue resolution.